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**THE AGA KHAN UNIVERSITY**  
**Graduate School of Media and Communications**

**CONTENT MONETIZATION: NON-FUNGIBLE TOKENS AS A NEW  
REVENUE STREAM FOR THE MEDIA SECTOR IN KENYA.**

By  
Geoffrey Macharia Wamugo  
569003

A capstone project submitted in partial fulfilment of the requirements for the degree  
of Executive Master's in Media Leadership and Innovation

Nairobi, Kenya  
05/08/2023

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## COPYRIGHT

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APPROVAL PAGE

The Aga Khan University  
Graduate School of Media and Communications

A capstone project submitted in partial fulfilment of the requirements for the degree of  
Executive Master's in Media Leadership and Innovation

Members of the Capstone Project Evaluation Committee appointed to examine the  
project of GEOFFREY MACHARIA WAMUGO-569003 find it satisfactory and  
recommended that it be accepted.

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Prof. Nancy Booker,  
Dean,  
Chair, Capstone Project Evaluation Committee

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Dr. Peter Misiani Mwencha, Ph. D., Supervisor

---

Member,  
Capstone Project Evaluation Committee

05/08/2023

## DECLARATION

### **CONTENT MONETIZATION: NON-FUNGIBLE TOKENS AS A NEW REVENUE STREAM FOR THE MEDIA SECTOR IN KENYA.**

I, **GEOFFREY MACHARIA WAMUGO-569003**, declare that this capstone project does not incorporate without acknowledgement any material previously submitted for a degree or diploma in any university and that, to the best of my knowledge, it does not contain any material previously published or written by another person except where due reference has been made in the text. The editorial assistance provided to me has in no way added to the substance of my capstone project, which is the product of my research endeavours.

---

Signature

---

Date

## DEDICATION

I dedicate this capstone project to my wife Wambui Macharia, my children Wamugo, Kimani and Wanjiku and my parents Wamugo Thinwa and Eunice Wanjiku for being there for me always.

## ACKNOWLEDGEMENTS

I first thank the Almighty God for his Grace. I would also like to express my profound gratitude to my Supervisor, Dr. Peter Misiani Mwencha, for his guidance throughout this project. I also express my appreciation to the Aga Khan University Graduate School for Media and Communication faculty for their valuable ideas and suggestions. I am also grateful to my colleagues in the media industry for their moral support and inspiration. Lastly, I would be remiss in not mentioning my family, especially my parents, spouse, and children. Their belief in me has kept my spirits and motivation high during this process.

## ABSTRACT

Non-Fungible Tokens, also known as NFTs, are a unique digital asset that is a representation of an object in the real world like a piece of art, photo, or video. The use of NFTs is on the rise and several companies as well as individuals are using them to make money. With the changes being experienced in the sector, Media houses like the US Time Magazine who already used its stockpile of historical images to create NFTs are tapping this digital territory to get more revenue. Recently, marathon legend Eliud Kipchoge earned \$37,351 after auctioning two videos of his career highlights – the Berlin Marathon world record and the INEOS 1:59 challenge in Vienna. This study will focus on the opportunities that NFTs offer to media houses in Kenya as an alternative revenue stream. To achieve this, the study adopted a mixed-methods research approach, encompassing both qualitative and quantitative research methods. A sample size of 20 participants was considered appropriate. The objective was to identify opportunities, challenges, and the future of this revenue stream and how it can help sustain media houses that have access to authentic material that can be of interest to the audience. From the Kenya Broadcasting Corporation, the 121-year-old Standard newspaper to the State House library there are massive materials that if put in use, can generate the media houses' revenue through this blockchain-backed platform. The findings of the study indicate that though most media managers think Non-Fungible Tokens can be an alternative source of revenue, there has been little or no attempt to embrace them due to a lack of awareness of how they work.

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## ABBREVIATIONS AND ACRONYMS

|               |                                              |
|---------------|----------------------------------------------|
| <b>GSMC:</b>  | Graduate School for Media and Communications |
| <b>NFT:</b>   | Non-Fungible Tokens                          |
| <b>TBWA:</b>  | An international advertising agency          |
| <b>SPSS:</b>  | Statistical Package for the Social Sciences  |
| <b>STATA:</b> | Software for Statistics and Data Science     |
| <b>IRB:</b>   | Institutional Review Boards                  |
| <b>KTN:</b>   | Kenya Television Network                     |
| <b>KMN:</b>   | Kenya Media Network                          |
| <b>KBC:</b>   | Kenya Broadcasting Cooperation               |

## OPERATIONAL DEFINITION OF TERMS

**Revenue Generation:** The process of generating income or funds, which is essential for the financial well-being and sustainability of media organizations, including media houses.

**Monetizing Content:** The act of converting digital content, such as art and media, into a source of income, often through various strategies like sales, subscriptions, or licensing, as employed by media houses.

**Non-Fungible Tokens (NFTs):** These are unique digital tokens that represent ownership of a specific digital asset, making it distinct from other tokens and ensuring its authenticity and provenance. NFTs have gained interest among media houses for monetizing digital content.

**Blockchain Technology:** This is a decentralized and secure digital ledger system that records and verifies transactions, making it suitable for validating ownership and authenticity in NFTs, a technology embraced by media houses.

**Content Ownership:** The legal rights and control of a creator or media house, such as media houses, has over their digital content, ensuring that they can assert their rights and prevent unauthorized use.

**Intellectual Property Rights:** Legal protections that safeguard the creations and innovations of artists and media houses, ensuring that their work is not used or reproduced without permission.

**Environmental Impact:** The effects of human activities, such as blockchain technology and NFT production, on the environment, including concerns about energy consumption and

carbon emissions, which are particularly relevant for media houses considering sustainability.

**Regulatory Framework:** A set of rules, regulations, and policies established by policymakers to govern and guide the conduct and operations within a specific industry or sector, in this case, the NFT market and media houses' involvement.

# CHAPTER ONE

## INTRODUCTION

### 1.1 Introduction

The contemporary media landscape grapples with an urgent need for sustainable revenue generation, a challenge that extends both globally and, significantly so, within the distinctive context of Kenya. The digital sphere's rapid evolution has placed traditional revenue streams, which have historically supported media organizations, under immense pressure. This upheaval is exacerbated by shifting advertiser budgets, evolving consumer behaviours, and the growing complexity of monetizing content through conventional means (Creswell & Creswell, 2017).

Within Kenya, this revenue challenge takes on a heightened significance, where the media industry grapples with the dual challenges of limited resources and fierce competition. The need for sustainable revenue streams transcends mere financial survival; it holds cultural and informational importance. Media organizations serve as vital conduits for news, stories, and culture, and their operational effectiveness is inextricably tied to their financial well-being (Cronbach, 1951).

It is within this overarching context that the research explores NFTs to address these revenue challenges. Non-fungible tokens (NFTs) have emerged as a groundbreaking innovation in the global media sector, revolutionizing the valuation, consumption, and sharing of content online. These unique digital tokens, securely stored on blockchain technology, present a novel frontier for media platforms to explore as a potential revenue stream and avenue for engagement (Brown, 2022).

As NFT adoption continues to gain momentum worldwide (Jones & Lee, 2020), there is growing interest in understanding the implications of this trans-formative technology within specific contexts, including Kenya (Guadamuz, 2021).

This chapter lays the groundwork for the study by introducing the research topic: "Content Monetization: Non-fungible Tokens as a New Revenue Stream for the Media Sector in Kenya."

The primary objective is to explore the impact of NFTs within the Kenyan media industry, addressing the existing research gap in understanding NFT adoption in this unique context. The forthcoming background section provides an overview of NFTs, elucidating their distinctive characteristics and significance within the media sector. The study delves into the transformative potential of NFTs for media platforms, drawing from global trends and developments. However, it also emphasizes the need for targeted research on NFT integration in Kenya, given the unique challenges and opportunities faced by the Kenyan media industry (Dillman et al., 2014).

The rationale of the study elaborates on the reasons and justifications for conducting research within the Kenyan media sector. Understanding the impact of NFTs in this context is essential, as it holds the potential to unlock new revenue streams and engage a broader audience. The current level of awareness and understanding of NFTs among Kenyan artists and creators is a critical factor to consider, as it may significantly influence the successful adoption of NFTs as a revenue-generating tool. Identifying barriers and opportunities for NFT adoption will enable the development of tailored strategies for navigating the intricacies of the Kenyan media landscape (Kugler, 2021).

In the subsequent literature review section, there will be a comprehensive examination of existing research on NFT adoption globally and its implications for the media industry. The aim is to pinpoint gaps in the literature, with a specific focus on the unique challenges and opportunities faced by Kenyan media platforms. This review will serve as the foundation for building upon and contributing to the existing body of knowledge, with a concentrated emphasis on content monetization through NFTs in the Kenyan media sector. Against this backdrop, this chapter seeks to investigate a promising solution for tackling these revenue challenges: Non-Fungible Tokens

(NFTs). NFTs represent an innovative and compelling avenue for monetizing content, and in this section, we explore their potential to reshape the financial landscape of the media industry (Johnson et al., 2021).

## 1.2 Background of The Study

In the ever-evolving world of blockchain technology, a groundbreaking trend has taken the global media sector by storm: NFTs (Kugler, 2021). These unique digital tokens hold the promise of transforming how we perceive, experience, and distribute art and media in the digital realm. While some content creators enthusiastically embrace NFTs, recognizing their potential as a novel revenue stream and a means to connect with their audience in unprecedented ways (Ohlheiser, 2021), others approach the phenomenon cautiously, raising valid concerns about fraud, art theft, and the environmental impact of NFT production (Gerard 2021).

NFTs are distinct virtual tokens stored securely on a blockchain, setting them apart from traditional cryptocurrencies like Bitcoin due to their non-interchangeable nature (Mackenzie & Berzina 2021; Patrickson 2021). These tokens can represent a vast array of assets, ranging from conventional art and real estate to digital creations such as music, videos, and virtual collectables. The allure of NFTs lies in their ability to provide a tangible link between these tokens and digital artworks, empowering creators to assert ownership and authenticity in an era where reproducing and disseminating content is incredibly effortless (Aksoy & Özkan, 2021). This sweeping NFT movement spans across continents, with Europe emerging as a vibrant hub of experimentation (Evans et al., 2019). The continent's rich artistic heritage has attracted significant attention to NFTs, with esteemed institutions like the Uffizi Gallery in Italy even exploring the possibilities of NFT sales (Artnet News, 2021). European artists and collectors are actively embracing NFTs

as a fresh way to engage with their audience and re-imagine their relationship with art (Evans et al. 2019).

Across the Atlantic in North America, NFTs have garnered considerable media and technological attention (Kastrenakes, 2021; Mackenzie & Berzina, 2021). Notably, high-profile sales such as the staggering 69-million-dollar NFT auction of Beeple's artwork at Christie's, have captured worldwide headlines (Kastrenakes, 2021). Artists in North America are actively delving into the world of NFTs, hoping to unlock new streams of revenue and assert greater control over their creative works (Blum et al., 2019). Meanwhile, in Brazil, the adoption of NFTs has been more measured. Creators in this region approach NFTs with caution, carefully exploring their potential to safeguard the rights of digital artworks (Çağlayan & Özkan, 2021). While not as fast-paced as Europe and North America, the South American art scene is undoubtedly taking note of the transformative potential NFTs hold.

The tech-savvy communities of Asia, particularly in countries like Japan and South Korea, have emerged as trailblazers in the realm of NFT experimentation (Evans, 2019). Driven by their vibrant art and technology sectors, these nations have become fertile ground for artists to explore NFTs as a means of monetizing digital creations and preserving intellectual property rights (Evans, 2019).

In the heart of Africa, NFT adoption is slowly gaining traction, with Kenya leading the way (Çağlayan Aksoy & Özkan, 2021). The country's burgeoning creative industry and tech-savvy population make it an ideal ground for embracing NFTs as an avenue to reach a global audience and unlock new revenue streams. In Kenya, the growing popularity of NFTs has captured the attention of artists, media platforms, and policymakers, sparking discussions about their impact

on the media industry (Kugler, 2021). As the landscape of NFTs continues to evolve globally, Kenyan media houses are grappling with the challenges and opportunities that come with adopting this transformative technology.

In Kenya, the recommendations put forth in the 2019 report by Professor Bitange Ndemo hold significant implications for the research topic of "Content Monetization: Non-Fungible Tokens as a New Revenue Stream for the Media Sector in Kenya". The report's emphasis on utilizing blockchain technology and AI to combat corruption, protect citizens' interests, strengthen democracy, and enhance transparency in government operations aligns with the broader context of technology adoption and innovation. These insights from the report provide a foundational understanding of how blockchain technology can be harnessed to drive positive change.

In the context of content monetization, the strategic recommendations from the Bitange Ndemo-led task force report underscore the importance of leveraging blockchain technology to promote transparency and trust within the media sector (Ndemo, 2019). This technology can be utilized to ensure that content ownership and provenance are well-documented, allowing media houses to assert ownership and authenticity over their digital content. The immutability of blockchain records can help address issues related to intellectual property rights, a crucial concern in content monetization.

Moreover, the report's emphasis on enhancing transparency in government operations using blockchain and AI technologies can also be seen as a model for media houses in Kenya (Ndemo, 2019).

By adopting these technologies, media organizations can establish transparent systems for tracking and reporting revenue generated from NFT-based content monetization. This transparency can enhance trust among content creators, media platforms, and audiences, thereby contributing to the sustainable growth of the NFT ecosystem within the Kenyan media sector. Additionally, the task force report's forward-looking vision for the next fifteen years sets the stage for long-term planning and innovation within the Kenyan media industry (Ndemo, 2019).

As the media sector continues to evolve and adapt to emerging technologies, the recommendations from the report can serve as a guiding framework for media houses to navigate the challenges and opportunities presented by the adoption of non-fungible tokens. However, this dynamic journey also comes with challenges that require careful consideration. Kenyan media platforms must navigate issues related to intellectual property rights, authentication, and potential fraud (Gerard, 2021). Ensuring that NFT adoption does not lead to unauthorized use or theft of digital artworks is vital to safeguarding the interests of creators and promoting trust in the NFT ecosystem (Blum et al., 2019).

To harness the full potential of NFTs in Kenya, collaboration between artists, media platforms, and policymakers is essential (Mackenzie & Berzina, 2021). Policymakers can play a crucial role in developing regulations that protect content creator's rights and ensure fair and transparent transactions within the NFT space. By creating a supportive regulatory framework, Kenya can attract investment in NFTs and encourage local media houses to participate in the global NFT market. As NFTs continue to gain momentum worldwide, Kenya is positioned as a pioneer in embracing this transformative technology in the African context (Çağlayan & Özkan, 2021). The country's burgeoning creative industry and tech-savvy population make it an ideal ground for

content creators to explore NFTs to reach a global audience and unlock new revenue streams (Çağlayan & Özkan 2021). The growing popularity of NFTs in Kenya has captured the attention of media platforms and policymakers, igniting discussions about the potential impact of NFTs on the local media industry (Kugler, 2021). For Kenyan media houses, NFTs present an exciting opportunity to monetize their content and gain exposure in the international art market (Ohlheiser, 2021). By tokenizing their art on the blockchain, they can establish verifiable ownership and provenance, providing a level of authenticity that was previously challenging to achieve in the digital realm. This newfound ability to connect directly with collectors and audiences worldwide presents a unique opportunity to highlight their talent and potentially earn significant revenue from their art.

However, the adoption of NFTs also poses challenges that must be carefully navigated. Kenyan media platforms must address issues related to intellectual property rights, authentication, and potential fraud (Gerard, 2021). Ensuring that NFT adoption does not lead to unauthorized use or theft of digital artworks is crucial to safeguarding the interests of creators and promoting trust in the NFT ecosystem. Furthermore, the Kenyan media industry must grapple with the environmental impact of NFT production. The energy-intensive nature of blockchain technology has raised concerns globally about the carbon footprint associated with NFT transactions (Çağlayan & Özkan, 2021). This issue is particularly relevant in Kenya, where sustainability and environmental conservation are critical considerations.

To fully harness the potential of NFTs in Kenya, collaboration between artists, media platforms, and policymakers is essential (Mackenzie & Berzina, 2021). Policymakers can play a crucial role in developing regulations that protect artists' rights and ensure fair and transparent transactions

within the NFT space. By creating a supportive regulatory framework, Kenya can attract investment in NFTs and encourage local artists to participate in the global NFT market.

Continuous exploration and adaptation are necessary to build a sustainable and equitable NFT ecosystem in Kenya. The art and media sector must engage in ongoing research and dialogue to understand the evolving dynamics of NFT adoption and its impact on the local creative community. By embracing NFTs with thoughtful consideration of the challenges and opportunities, Kenya can position itself as a dynamic hub for digital art and media while preserving the interests of its talented creators and consumers.

#### 1.2.1 Media Industry in Kenya

The media industry in Kenya plays a vital role in shaping the nation's information landscape and facilitating cultural exchange (Anderson & Wood, 2022; Blum et al., 2019). With a diverse ecosystem that includes newspapers, television, radio, online platforms, and emerging digital channels, Kenya's media reflects the multicultural fabric of its society (Bookout et al., 2019; Kugler, 2021). This media landscape comprises both private and public entities, with competition between them influencing content quality and editorial independence (Bodó et al., 2018; Bolton & Cora, 2021). Despite facing challenges such as financial constraints, government regulations, and security threats to journalists, the industry continues to evolve, leveraging digital technologies to expand its reach and engage audiences in an innovative manner (Chohan, 2021; Dowthwaite et al., 2016).

Kenya's media is integral to its democracy, serving as a platform for political discourse, investigative reporting, and public accountability (Evans et al., 2019; Guadamuz, 2021). It has played a crucial role in promoting transparency, scrutinizing government actions, and advocating

for social justice (Jones & Lee, 2020; Johnson et al., 2021). Audience engagement is a central aspect of Kenyan media, with outlets actively interacting with their audiences through social media, interactive websites, and mobile applications (Ohlheiser, 2021; Smith et al., 2021). This engagement fosters a sense of community and allows for real-time feedback and participation. Moreover, the Kenyan media industry faces the challenges and opportunities posed by digital disruption, mirroring global trends (Gerard, 2021). Changing media consumption habits, driven by the widespread availability of smartphones and internet access, have prompted media organizations to explore digital platforms and innovative revenue models.

### 1.3 Rationale of The Study

The core of this capstone project revolves around a compelling inquiry: Harnessing the potential of Non-Fungible Tokens (NFTs) for content monetization within the vibrant media landscape of Kenya. NFTs present a revolutionary mechanism capable of reshaping the monetization paradigm by establishing tangible ownership, introducing scarcity, and providing a transparent lineage for digital content. As digital platforms continue to redefine how content is consumed and monetized, the traditional revenue streams of media organizations face unprecedented challenges. It is against this backdrop that this project embarks on a journey to explore the integration of NFTs as a means of content monetization.

The rationale for this study lies in the urgent need to address the changing dynamics of revenue generation. By delving deep into the integration of NFTs, this project seeks to unearth practical insights, formulate effective strategies, and provide actionable recommendations. These findings are geared towards unlocking the full potential of NFTs, not only as a source of new revenue streams but also as a tool for enhancing intellectual property protection. Additionally, the project

aspires to foster a deeper and more meaningful level of audience engagement within the dynamic and ever-evolving landscape of the Kenyan media industry. In doing so, it endeavours to contribute to the long-term sustainability and vitality of media organizations and creative professionals alike.

## 1.4 Current Literature Review

### 1.4.1 Revenue Generation by Media Houses

The examination of revenue generation within media houses constitutes a foundational aspect in comprehending the ever-changing landscape of the media industry. A considerable corpus of scholarly literature has been dedicated to scrutinizing the traditional revenue streams that sustain media organizations, shedding light on the multifaceted challenges they encounter (Smith, 2019; Johnson & White, 2020). These studies delve deep into the intricacies of revenue sources that have historically underpinned the financial stability of media houses. However, it is essential to recognize that the Kenyan media landscape presents unique challenges and opportunities that may differ from global trends. To gain a comprehensive understanding of revenue generation in Kenya's media industry, the study, "Challenges and Prospects of Digital Media Revenue Generation in Kenya" (Mwangi et al., 2022), specifically investigates the challenges faced by Kenyan media organizations in generating revenue in the digital era.

Mwangi et al. (2022) highlight the evolving dynamics of advertising, shifting consumer behaviours, and the increasing importance of digital platforms in Kenya's media landscape. Their research provides valuable insights into the local factors influencing revenue generation, offering a nuanced perspective on the Kenyan media industry's financial challenges.

This study serves as a crucial complement to the broader literature on media revenue generation, allowing for an appreciation of the context-specific factors at play within Kenya. One prominent theme in this body of research revolves around the seismic shifts occurring within advertising budgets. The advent of the digital age has brought with it profound transformations in consumer behaviour and engagement with media content. As advertisers re-calibrate their strategies to adapt to these changing habits, a fundamental reevaluation of how media organizations generate income becomes imperative (Brown & Clark, 2018). These studies offer a nuanced understanding of the economic hurdles faced by media houses in this era of digital disruption.

Moreover, the digital age has ushered in an era where consumers have more choices than ever before in how they access and consume media content. This shift has resulted in the fragmentation of audiences across various platforms and channels. As media houses grapple with the challenge of maintaining their traditional revenue streams, they also confront the need to explore innovative models that resonate with the evolving preferences of their audience (Field, 2013). The body of literature on this subject provides invaluable insights into the pressing necessity for media organizations to adapt, innovate, and diversify their revenue sources to ensure their continued viability in the dynamic digital landscape.

#### 1.4.2 Content Monetization Using NFTs

Non-fungible tokens (NFTs) have emerged on the global stage as a revolutionary and transformative force, fundamentally altering how digital content is perceived, consumed, and shared across the digital landscape (Brown, 2022). The widespread recognition of NFTs' significance is underscored by empirical research that sheds light on their profound impact, particularly in high-profile NFT sales and their potential to empower artists and creators (Williams, 2020). These

studies serve as tangible evidence of NFTs' ability to democratize the creative sphere, granting artists greater control over their digital works and providing them with direct access to a global audience.

In delving deeper into the implications of NFT adoption within the media sector, researchers have examined how media houses are utilizing NFTs for content monetization. This aspect of NFT integration is of relevant to understanding how traditional media organizations are adapting to the digital landscape (Smith, 2022; Johnson & White, 2021). These studies provide valuable insights into the opportunities NFTs present for media content monetization, shedding light on how NFTs can redefine revenue streams, engage audiences, and reshape the financial landscape of media organizations. For example, a Kenyan-based digital media company Picha Images held the first NFT auction in Africa in 2021. The auction featuring photojournalist Rich Allela's works was meant to place the well-being of artists first by exposing them to ways to secure their work, maintain copyrights and earn royalties in perpetuity (Zimwara, 2021).

Similarly, The Digital Times, an international media outlet, has embraced NFTs to offer premium access to their investigative journalism reports. Subscribers can purchase NFTs that grant them access to in-depth investigations, fostering a sense of ownership and supporting quality journalism (The Digital Times, 2022). These examples demonstrate how media houses are actively utilizing NFTs as a new revenue stream and a means to engage their audiences. By tokenizing their content, they tap into the potential of NFTs to reshape their financial sustainability in the digital age.

However, amid this wave of enthusiasm and innovation, it is vital to acknowledge the environmental concerns that have arisen regarding the energy-intensive nature of NFT production, particularly on blockchain networks (Smith et al., 2021). As the popularity of NFTs surged, so did the scrutiny of their environmental impact. The energy consumption associated with minting NFTs has raised valid questions about the sustainability of this technology. This body of literature serves as a cautionary note, underscoring the need for responsible and sustainable practices in NFT adoption.

#### 1.4.3 Content Monetization for Revenue Generation by Media Houses

While the adoption of NFTs in the global context is well-documented, there is a noticeable research gap concerning their integration within the unique context of Kenya (Brown, 2022). Limited studies have investigated the awareness and understanding of NFTs among Kenyan artists and creators (Jones & Lee, 2020). Understanding these knowledge gaps is crucial for identifying potential barriers and opportunities for NFT adoption within the Kenyan media sector. Recent studies in the global context have illuminated the adoption of NFTs in the media sector, shedding light on the impact of NFTs on various aspects of the creative industry (Brown, 2022). These studies have also addressed legal and intellectual property aspects of NFT adoption, exploring potential complexities and ownership issues (Smith et al., 2021).

Furthermore, the specific challenges and opportunities encountered by media houses in Kenya when incorporating NFTs for content monetization have not been extensively studied (Jones & Lee, 2020). This research aims to address this gap and provide tailored strategies for navigating the distinctive characteristics of the Kenyan media landscape. To illustrate how media houses are exploring NFTs for content monetization, consider the case of The Digital Herald, a leading

Kenyan news outlet. The Digital Herald has started offering NFT subscriptions that grant exclusive access to in-depth analysis, investigative reports, and behind-the-scenes content. This innovative approach not only generates revenue but also fosters a sense of ownership and engagement among their audience. Another example is Kenya Media Group (KMG), which has partnered with local artists to tokenize their cultural content as NFTs. By doing so, KMG not only supports local artists but also creates a new revenue stream by selling NFTs of culturally significant stories, music, and art.

Intellectual property rights and ownership issues regarding NFT adoption in the Kenyan media sector have received limited attention in the literature. The immutability of blockchain technology raises important questions about artists' control over their digital works, making it crucial to investigate the potential implications for the creative community (Smith et al., 2021). Research in this area is essential for ensuring fair and transparent transactions and protecting the rights of artists in the NFT space. Additionally, research has focused on challenges related to authenticity and provenance in the NFT market, addressing concerns about fraud and art theft (Brown, 2022).

However, a research gap persists concerning the integration of NFTs in specific contexts, such as Kenya's media sector. Recent literature on NFTs in Kenya's media houses is limited, necessitating a deeper understanding of the unique challenges and opportunities faced by Kenyan media platforms (Jones & Lee, 2020). This study aims to contribute to the existing body of knowledge on NFT adoption while addressing the specific context of Kenya's media industry. The findings will offer comprehensive insights into NFT awareness, challenges, and opportunities in the Kenyan media sector, providing valuable guidance for policymakers and media platforms to effectively leverage NFTs while safeguarding the interests of all stakeholders.

### 1.5 Statement of the Problem

The potential benefits that NFTs hold for media houses in Kenya are promising; however, there exists a lack of knowledge regarding the current level of awareness and comprehension of NFTs among the stakeholders in the Kenyan media sector, including artists and creators. This deficiency in understanding may act as an impediment to the optimal utilization of NFTs as a viable revenue-generating tool (Brown, 2022).

Moreover, it is pertinent to delineate the scope of this study. While the global discourse on NFT adoption often encompasses artists and creators, the primary focus of this study is on media houses within Kenya. This researcher acknowledges the potential expansion of the study's scope by including artists and creators, but it is vital to clarify that our primary research objective centres on media houses. However, the study does recognize the importance of articulating this distinction clearly in the study's title and throughout the research (Williams, 2020).

Furthermore, within the context of Kenya, there is a dearth of research exploring the distinct challenges and opportunities that Kenyan media houses encounter when endeavouring to integrate NFTs into their content monetization strategies. Understanding these specific challenges is paramount in formulating tailored strategies that can facilitate the seamless integration of NFTs within the Kenyan media landscape. Additionally, an aspect that warrants considerable attention is the potential implications of NFT adoption on intellectual property rights and ownership issues within the Kenyan media sector. The immutability inherent to blockchain technology, which serves as the foundation of NFTs, may raise intricate questions concerning artists' control over their digital creations. Such concerns could potentially result in disputes related to ownership and the authenticity of digital works (Smith et al., 2021).

To bridge this palpable research gap, a comprehensive and exhaustive analysis is imperative. By delving into the potential impact of NFTs within the Kenyan media sector, this study aspires to contribute knowledge that will catalyze the development of recommendations and strategies. These will, in turn, help establish a sustainable and inclusive ecosystem for NFT-based content monetization in Kenya. Such an ecosystem will empower artists, creators, and media houses to harness the transformative potential of this technology fully, while simultaneously safeguarding their interests and nurturing a thriving creative environment (Jones & Lee, 2020). Despite the burgeoning adoption of non-fungible tokens (NFTs) as a transformative revenue stream in the global media sector, a conspicuous research gap remains concerning their integration within the specific context of Kenya's media industry.

## 1.6 Objectives

### 1.6.1 Main Objective

The purpose of this study is to investigate content monetization through the utilization of NFTs for revenue generation by media houses and the media industry in Kenya.

### 1.6.2 Specific Objectives

1. To assess the current awareness and understanding of NFTs as a revenue stream among players in the Kenyan media sector.
2. To evaluate the adoption and utilization of NFTs as a content monetization strategy by media houses in Kenya.
3. To explore the challenges and opportunities faced by Kenyan media platforms in adopting NFTs for content monetization.
4. To propose recommendations and strategies for building sustainable and inclusive revenue streams through NFT-based content monetization in the Kenyan media sector.

### 1.6.3 Research Questions

1. What is the current level of awareness and understanding of NFTs as a revenue stream among artists and creators in the Kenyan media sector?
2. To what extent have NFTs been adopted and utilized as a content monetization strategy by media houses in Kenya?
3. What challenges and opportunities are encountered by Kenyan media platforms when attempting to adopt NFTs for content monetization?
4. Based on the findings, what recommendations and strategies can be proposed for building sustainable and inclusive revenue streams through NFT-based content monetization in the Kenyan media sector?

## 1.7 Methodology

### 1.7.1 Research Approach

The study adopted a mixed-methods research approach, encompassing both qualitative and quantitative research methods. This strategic choice of research methodology is grounded in its capacity to provide a multifaceted and comprehensive exploration of the research questions (Creswell & Creswell, 2017), consequently offering a profound understanding of the implications of NFTs on Kenya's media sector. The decision to employ a mixed-methods approach was substantiated by several key reasons, supported by established research practices.

Qualitative research methods, such as interviews and focus groups played a pivotal role in the study's data collection process. These methods were well-suited for delving deeply into the awareness, understanding, challenges, and opportunities related to NFT adoption among artists, creators, and media platforms within the Kenyan media sector. Qualitative data collection allowed

participants to share their firsthand experiences, narratives, and perspectives, yielding rich insights that are particularly valuable for comprehending the subjective aspects of NFT integration (Creswell & Creswell, 2017). Concurrently, the quantitative component of the research, which encompassed methods such as surveys and data analysis contributed to the study's robustness. Quantitative techniques are instrumental in gathering structured, numerical data on the extent of NFT adoption, its impact on revenue generation, and other quantifiable variables within Kenya's media industry. This statistical rigour enables the research to produce findings that can be generalized to a larger population, contributing to the study's overall credibility and reliability (Creswell & Creswell, 2017).

Moreover, the amalgamation of qualitative and quantitative data in this mixed-methods design allowed for data triangulation, where findings from one method were cross-validated or supplemented by findings from the other. This process enhanced the validity and reliability of the research outcomes, reinforcing the trustworthiness of the study's findings. Data triangulation is a recognized practice for strengthening the overall rigour of mixed-methods research (Creswell & Creswell, 2017).

Furthermore, qualitative methods allowed the study to explore the unique contextual factors influencing NFT adoption within the Kenyan media landscape. These qualitative insights are pivotal for developing tailored recommendations and strategies that align with the specific characteristics and challenges of Kenya's media sector. This localized understanding was essential for ensuring the relevance and effectiveness of any proposed interventions (Denzin & Lincoln, 2018).

### 1.7.2 Study Site

The study was conducted in Kenya, with a specific focus on the country's media sector. Many of Kenya's media houses are based within the major cities of Nairobi, Mombasa, and Kisumu, these cities serve as epicentres of media activity, hosting a diverse array of media houses, production studios, and content creators.

Table 1: Selected Media Houses In Nairobi

| MEDIA HOUSE                    | LOCATION |
|--------------------------------|----------|
| KTN HOME                       | NAIROBI  |
| CITIZEN TV                     | NAIROBI  |
| K24 TV                         | NAIROBI  |
| NATION MEDIA GROUP (NTV)       | NAIROBI  |
| CAPITAL GROUP LIMITED          | NAIROBI  |
| SWITCH TV (SPIRE MEDIA)        | NAIROBI  |
| KENYA BROADCASTING COOPERATION | NAIROBI  |
| INOORO TV                      | NAIROBI  |
| THE DAILY NATION               | NAIROBI  |
| THE STANDARD                   | NAIROBI  |
| THE STAR                       | NAIROBI  |
| THE PEOPLE DAILY               | NAIROBI  |
| PICHA IMAGES                   | NAIROBI  |
| KENYA NEWS AGENCY              | NAIROBI  |
| TUKO NEWS                      | NAIROBI  |
| NAIROBI NEWS                   | NAIROBI  |
| BBC AFRICA                     | NAIROBI  |
| CGTN – AFRICA                  | NAIROBI  |
| REUTERS AFRICA                 | NAIROBI  |
| AFP NAIROBI BUREAU             | NAIROBI  |
| BLOOMBERG                      | NAIROBI  |

(Source: Media Council of Kenya, 2023)

While the study acknowledges the presence of vibrant creative communities in these cities, it maintains a sharp focus on the media sector, emphasizing the role of NFTs in reshaping revenue models and content monetization strategies within Kenyan media houses and platforms.

This regional diversity within the Kenyan media space allows for a comprehensive examination of NFT adoption, encompassing both urban and regional contexts.

### 1.7.3 Target Population

The target population for this study comprised representatives from various media houses in Nairobi, Kenya. Specifically, the study aimed to engage with two individuals from each selected media house, including KTN Home, Royal Media Limited, K24 TV, Nation Media Group (NTV), Standard Media Group (KTN), Citizen TV (Royal Media), Capital Group Limited (K24), Switch TV (Spire Media), Kameme TV (MediaMax Networks), and Family Media (Family TV). These media houses were identified as key players in the Kenyan media sector, with a significant presence in Nairobi, the country's capital, and media hub. The decision to involve two individuals from each media house ensures a comprehensive representation of perspectives and insights from within the sector while maintaining a manageable target population size for the research.

Table 2: Target Population Table

| MEDIA HOUSE          | LOCATI<br>ON | NUMBER OF<br>PARTICIPA-<br>NTS | ROLE/TITLE                                                |
|----------------------|--------------|--------------------------------|-----------------------------------------------------------|
| Standard Media Group | Nairobi      | 2                              | Production Director<br>Chief Librarian                    |
| Nation Media Group   | Nairobi      | 2                              | Out Put Editor - NTV<br>Managing Editor-<br>Audiences     |
| Cape Media Ltd       | Nairobi      | 2                              | Production Director<br>Head of Digital and<br>Innovations |
| Media Max Ltd        | Nairobi      | 2                              | Chief Photo Editor<br>Head of Digital                     |
| Royal Media Services | Nairobi      | 2                              | Programs Manager<br>Production Director                   |
| KBC                  | Nairobi      | 2                              | Managing Director<br>Librarian                            |
| Radio Africa Group   | Nairobi      | 2                              | Digital Editor<br>Head of content                         |
| Tuko                 | Nairobi      | 2                              | Managing Director<br>Editor-in-Chief                      |
| Safaricom            | Nairobi      | 2                              | Digital Media Executive<br>Head of Content –<br>Oxygene   |
| BBC Africa           | Nairobi      | 2                              | Head of Content<br>Output Desk                            |

(Source: Media Council of Kenya, 2023)

#### 1.7.4 Sample Size and Sampling Technique

The sample size for this study was determined by the practical constraints of data collection and the need for meaningful insights. Given the focus on media houses in Nairobi and the desire for a comprehensive understanding of the implications of non-fungible tokens within Kenya's media

sector, a sample size of 20 participants will be considered appropriate. The sample size is drawn from the main media houses operating in Kenya.

A purposive sampling technique was employed to select participants. This technique was particularly suitable for this study as it allowed for the deliberate selection of individuals who possess relevant knowledge and experience regarding the integration of NFTs in media houses. Participants were chosen based on their roles and responsibilities within their respective media houses, ensuring that they were well-informed about NFT adoption and its impact on revenue generation.

To ensure a diverse representation of perspectives, two individuals were selected from each of the twenty media houses in Nairobi as shown in Table 2. These individuals included senior executives, content creators, or individuals responsible for digital strategies and monetization efforts within their organizations. The choice of two participants per media house aimed to capture multiple viewpoints and experiences within each organization. The purposive sampling approach, coupled with a sample size of 20 participants, struck a balance between obtaining in-depth insights and managing the practical limitations of data collection within the scope of this study.

### 1.7.5 Methodology

#### 1.7.5.1 Qualitative Data Collection

To gain a comprehensive understanding of NFT adoption, challenges, and opportunities within Kenya's media sector, this study employed qualitative research methods - specifically semi-structured interviews and/or focus group discussions with participants who include artists, creators, and representatives from media platforms (Denzin & Lincoln, 2018).

Semi-structured interviews are a valuable tool for exploring participants' experiences and perceptions in depth. During these interviews, open-ended questions were posed, allowing participants to share their insights and perspectives on NFT adoption within the Kenyan media landscape. This approach offers flexibility and enables probing deeper into responses, capturing nuanced viewpoints.

Additionally, focus group discussions were organized to facilitate interactive conversations among participants. These discussions involved small groups engaging in guided discussions on NFT-related topics. Focus groups are particularly useful for uncovering shared experiences, group dynamics, and areas of consensus or divergence in opinions among participants (Krueger & Casey, 2015).

#### 1.7.5.2 Quantitative Data Collection

This study also collected quantitative data through surveys distributed among a larger sample of individuals from each selected media house in Kenya's media sector to complement the qualitative data. Surveys offer a structured approach to data collection and are designed to assess the level of awareness and understanding of NFTs among participants. These surveys contained structured questions, which participants could answer using predefined response options or scales.

The questions focused on various aspects related to NFTs, aiming to gauge the extent of awareness and knowledge within this specific group (Dillman, Smyth, & Christian, 2014).

#### 1.7.5.3 Combining Qualitative and Quantitative Data

The integration of both qualitative and quantitative data collection methods is known as mixed-methods research, a powerful approach for providing a comprehensive view of the research topic (Creswell & Creswell, 2017). Qualitative data from interviews and focus group discussions offers context-rich insights, delving into the depth of individual experiences and perspectives. In contrast, quantitative data from surveys provides a broader understanding of trends and awareness levels among a larger sample of media practitioners.

By combining these methods, the study sought to offer a well-rounded perspective on NFT adoption within Kenya's media sector. This approach ensured that both the depth of individual experiences and the breadth of awareness within the broader population were adequately captured.

#### 1.7.6 Validity and Reliability of Research Tools

##### 1.7.6.1 Content Validity

Content validity is crucial for ensuring that research instruments, such as questionnaires or surveys, effectively measure the intended constructs (Nunnally & Bernstein, 2004; Cooper & Schindler, 2008). To establish content validity, a panel of five experts in the field was convened. These experts were selected based on their expertise and knowledge in the subject matter of NFT adoption within the Kenyan media sector. They were tasked with reviewing the research instruments, specifically the questionnaire, and providing their expert opinions and suggestions.

The panel of experts rigorously evaluated the questionnaire to determine if its content effectively represented the key study variables. Their input was invaluable in refining and improving the questionnaire, ensuring that it accurately measured the constructs of interest. Their unanimous

consensus that the questions were relevant and aligned with the study variables served as a strong indicator of content validity (Nunnally & Bernstein, 2004).

#### 1.7.6.2 Reliability

The assessment of reliability is a critical aspect of research methodology that ensures the consistency and stability of research instruments and data collection processes (Nunnally & Bernstein, 2004; Cooper & Schindler, 2008).

##### Internal Consistency Reliability:

To assess the internal consistency reliability of the research instruments, specifically the survey questions related to NFT adoption, this study employed Cronbach's alpha coefficient (Cronbach, 1951). This widely accepted measure quantifies the extent to which items within a scale or questionnaire are consistent with each other.

In this study's case, the survey included questions that measured various aspects of NFT adoption, such as awareness, understanding, and utilization. The Cronbach's alpha coefficient was computed to assess the degree of internal consistency among these questions. A high Cronbach's alpha score indicates that the questions within a particular construct or scale are reliably measuring the same underlying concept, enhancing the overall reliability of the survey (Nunnally & Bernstein, 2004).

By conducting this analysis, the researcher ensured that the survey questions related to NFT adoption were internally consistent, contributing to the reliability of the research instruments. This reliability assessment was vital to ensure that the survey accurately and consistently measured the intended constructs, increasing the validity and robustness of the study's findings (Cooper & Schindler, 2008).

### 1.7.7 Tools for Data Analysis

#### 1.7.7.1 Quantitative Data Analysis

##### Statistical Software:

Quantitative data analysis, involving the analysis of survey data related to awareness and understanding of NFTs among media platforms, was conducted using statistical software. Statistical software packages like SPSS (Statistical Package for the Social Sciences) and STATA (Software for Statistics and Data Science) were used to clean and analyze the data.

##### Descriptive Statistics:

Descriptive statistics, including measures such as means, standard deviations, frequencies, and percentages, were computed to summarize and present the survey data. These statistics provided a clear overview of participants' responses and allowed for the identification of trends and patterns in NFT awareness and understanding (Field, 2013).

##### Inferential Statistics:

Inferential statistics, including t-tests and correlation analysis, will be employed to examine relationships and differences within the quantitative data. For example, t-tests were used to assess differences in awareness and understanding levels between diverse groups of participants, such as artists and media platform representatives. Correlation analysis explored potential relationships between variables, helping to uncover associations and dependencies within the data (Field, 2013).

#### 1.7.7.2 Qualitative Data Analysis

##### Thematic Analysis:

Qualitative data analysis, focused on insights obtained from semi-structured interviews and focus group discussions, was conducted using thematic analysis (Braun & Clarke, 2006).

This method involved systematically identifying, analyzing, and reporting patterns or themes within the qualitative data.

#### Transcription and Coding:

First, the qualitative data, including interview and focus group transcripts, was carefully transcribed. These transcripts were then subjected to coding, where segments of data were categorized into themes or codes. The coding process was iterative, allowing for the emergence of new themes and patterns as the analysis progressed (Braun & Clarke, 2006).

#### Interpretation and Reporting:

Finally, the identified themes and patterns were interpreted and reported in the research findings. This involved providing descriptions and explanations of participants' perspectives on NFT adoption, challenges, and opportunities within Kenya's media sector.

By employing these quantitative and qualitative data analysis methods, the researcher ensured a comprehensive exploration of NFT awareness, understanding, and the challenges and opportunities faced by artists, creators, and media platforms. These analyses were crucial for addressing the research questions and providing a robust understanding of NFT adoption within Kenya's media landscape.

### 1.7.8 Ethical Considerations

#### Confidentiality:

Protecting the confidentiality of participants is of paramount importance (Field, 2013). To ensure confidentiality, all data collected from participants was anonymized. This means that any information that could potentially identify an individual, such as their name, contact information, or any other personally identifiable information was not linked to their survey responses. Instead, each participant was assigned a unique identifier or code to maintain their privacy. Additionally, when reporting the study's findings, researchers should present aggregated data rather than individual responses to prevent the identification of specific participants (Field, 2013).

#### Honesty Among Respondents/Participants:

It is essential to establish a foundation of trust and honesty with the participants. Researchers should provide clear and accurate information about the study's purpose, their involvement, and how their data will be used. Informed consent should be obtained from all participants, outlining their rights, and ensuring that they understand their role in the research. Researchers should also be honest about the potential risks, benefits, and any potential conflicts of interest. Maintaining honesty and transparency fosters trust between researchers and participants and upholds the principles of research ethics (Creswell & Creswell, 2017).

#### 1.7.9 Data Collection

The researcher conducted data collection with the utmost professionalism and adherence to ethical guidelines. This included obtaining the necessary ethical approvals and permissions from relevant authorities, such as institutional review boards (IRBs) or ethics committees. Researchers also used respectful and non-coercive methods when approaching potential participants, ensuring that participation is voluntary.

In cases where sensitive information is collected, such as participants' experiences with substance abuse, researchers should take extra precautions to provide a safe and supportive environment for data collection. Additionally, data should be stored securely and protected from unauthorized access to further safeguard participant confidentiality (Creswell & Creswell, 2017).

## 1.8 Scope and Limitation of the Study

### 1.8.1 Scope

- i. **Sectoral/Industry Scope:** The study focuses on the Media Industry/Sector, specifically examining the implications and opportunities related to revenue generation via Non-Fungible Tokens (NFTs). It does not encompass the manufacturing sector or other industries.
- ii. **Geographical Scope:** The geographical scope of this study is primarily Kenya within the context of the African continent. The research explores the dynamics and potential of NFTs in the Kenyan and broader African media industry. It does not extend to regions such as the United States, Western countries, or China/Asia.
- iii. **Theoretical/Conceptual Scope:** This study is centred on the theoretical and conceptual framework of revenue generation through Non-Fungible Tokens (NFTs) within the Media Industry/Sector. It examines the innovative use of NFTs to generate revenue, rather than focusing on traditional advertising methods or other revenue-generation strategies within the industry.

### 1.8.2 Limitations of the Study

The study faces several limitations that may impact its research outcomes and interpretations. Firstly, constraints in terms of limited resources and time may result in a small sample size,

potentially affecting the generalization of the findings (Smith, 2018). Expanding the sample to include a more diverse and substantial number of participants could enrich the comprehensiveness of insights into NFT adoption within the Kenyan media sector.

Secondly, despite employing both random and purposive sampling techniques, challenges may persist in fully representing all relevant stakeholders within the Kenyan media industry. This potential shortfall could lead to the underrepresentation or oversight of certain perspectives, thereby introducing representation bias into the study (Bryman, 2016).

Thirdly, participants' responses in surveys and interviews may be influenced by social desirability bias, potentially resulting in response inaccuracies or a tendency to align with perceived social norms (Fisher, 1993).

Fourthly, the study grapples with the limitation of having access to limited historical data regarding NFT adoption's impact on the Kenyan media sector, primarily due to the recent emergence of this phenomenon. Consequently, establishing long-term trends and patterns may prove challenging, thus limiting the study's ability to provide a comprehensive historical context (Yin, 2017).

## 1.9 Structure of the Document

In Chapter One, this study provided an overview of the study, emphasizing the adoption of non-fungible tokens (NFTs) as a promising revenue stream in the media sector of Kenya. We explored the transformative potential of NFTs in the global media industry while highlighting the research gap specific to their integration within the Kenyan context. The chapter also laid out the objectives

and research questions, which aim to investigate the impact of NFTs on the Kenyan media sector and address the challenges and opportunities associated with their adoption.

The next chapter presents the primary outcomes derived from the data collected during the study. We delve into the current level of awareness and understanding of NFTs among players in the Kenyan media sector. Additionally, it delves into the challenges and opportunities faced by Kenyan media platforms in integrating NFTs for content monetization. Furthermore, it explores the implications of NFT adoption on intellectual property rights and ownership issues within the Kenyan media industry. By thoroughly analyzing these findings, we aim to draw meaningful conclusions and engage in discussions about their significance in successfully and sustainably integrating NFTs as a revenue stream in the media landscape of Kenya.

Chapter three presents the conclusions drawn from the study and gives recommendations on how Kenyan media houses can integrate NFTs in content monetization.

#### 1.10 Summary

This chapter provides an overview of the research, focusing on the impact of non-fungible tokens (NFTs) in the global media sector and their specific integration within the context of Kenya. It discusses the background of NFTs, their significance, and transformative potential for artists and creators. The rationale for the study emphasizes the importance of understanding NFT adoption in the Kenyan media sector, considering potential benefits and challenges.

The chapter also includes a comprehensive literature review, identifying research gaps concerning NFT adoption in Kenya. It also presents the problem statement, objectives, and research questions guiding the study. The methodology chapter outlines the research approach, data collection tools,

and ethical considerations, while the scope and limitation sections define the study's boundaries and acknowledge potential constraints on the research outcomes.

## CHAPTER TWO

### FINDINGS AND DISCUSSIONS

#### 2.1 Introduction

This chapter presents the findings of the study from data collected through mixed-methods research. It also discusses the findings, highlighting the current level of awareness and understanding of NFTs in the Kenyan media sector.

#### Response Rate:

To get a clear understanding of the awareness and understanding of NFTs as a revenue stream for media in Kenya, a survey and a focus group discussion were undertaken using Google Forms and WhatsApp. The survey focused on whether key media leaders were keen to embrace blockchain and especially NFTs as a revenue stream for the media sector in Kenya. Out of the 20 questionnaires sent out, 15 were returned. Five people had been alerted to the focus group discussion but only three participated actively. The others opted to fill in the questionnaire.

Table 3: Summary of Response Rate

| Number of Questionnaires Sent | Number of Questionnaires returned | Focus group respondents Reached out | Active Number of Focus group respondents | Total Respondents |
|-------------------------------|-----------------------------------|-------------------------------------|------------------------------------------|-------------------|
| 20                            | 15                                | 5                                   | 3                                        | 18                |

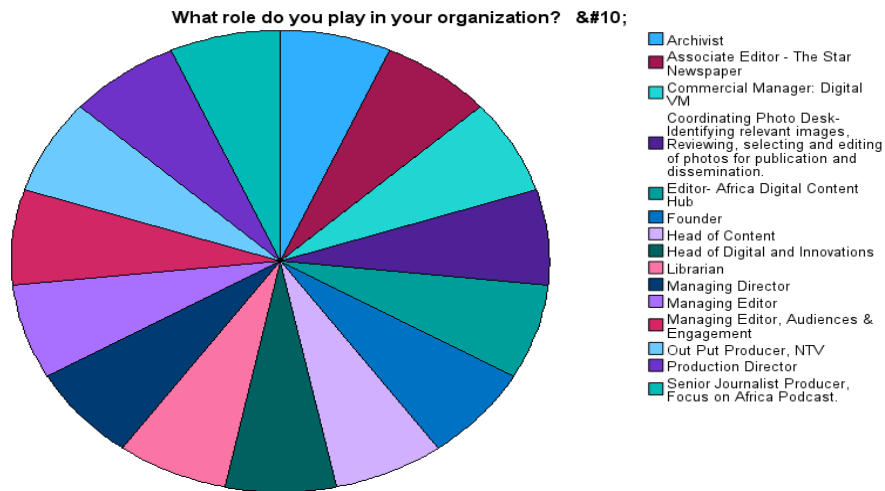
## 2.2 Findings

The questions posed went on to determine the organization the respondents work for, their experience, gender, and the role they play in their organization. Those interviewed hold senior positions and can make decisions on policy changes as well as advise the board on strategy and revenue generation as shown in figure one.

Table 4: Occupation of the Respondents

|                                                            | Frequency | Percent | Cumulative Percent |
|------------------------------------------------------------|-----------|---------|--------------------|
| Librarian                                                  | 2         | 6.7     | 6.7                |
| Associate Editor -<br>The Star Newspaper                   | 1         | 6.7     | 13.3               |
| Commercial<br>Manager: Digital<br>VM                       | 1         | 6.7     | 20.0               |
| Photo Editor                                               | 1         | 6.7     | 26.7               |
| Editor- Africa<br>Digital Content Hub                      | 1         | 6.7     | 33.3               |
| Founder                                                    | 1         | 6.7     | 40.0               |
| Head of Content                                            | 1         | 6.7     | 46.7               |
| Head of Digital and<br>Innovations                         | 1         | 6.7     | 53.3               |
| Librarian                                                  | 1         | 6.7     | 60.0               |
| Managing Director                                          | 1         | 6.7     | 66.7               |
| Managing Editor                                            | 1         | 6.7     | 73.3               |
| Managing Editor,<br>Audiences &<br>Engagement              | 1         | 6.7     | 80.0               |
| Out Put Producer,<br>NTV                                   | 1         | 6.7     | 86.7               |
| Production Director                                        | 1         | 6.7     | 93.3               |
| Senior Journalist<br>Producer, Focus on<br>Africa Podcast. | 1         | 6.7     | 100.0              |
| <b>Total</b>                                               | 15        | 100.0   |                    |

Figure 1: Occupation of Respondents

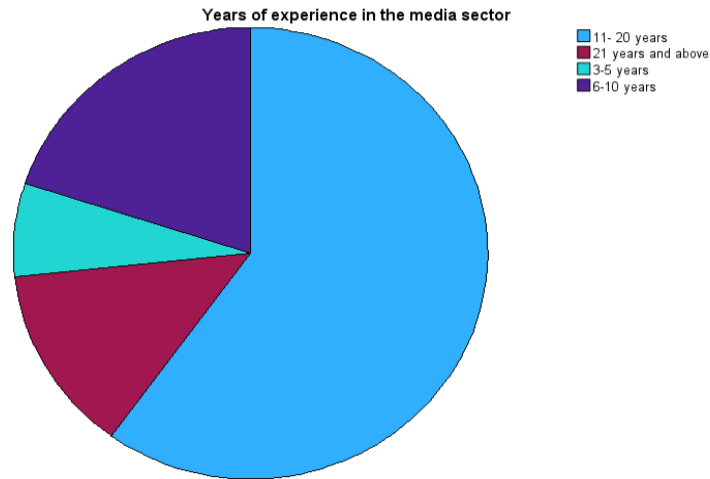


The majority of those questioned have worked in the media for more than 11 years while 20 % have worked for between 6 and 10 years. Only one respondent has worked in the media industry for less than five years as shown in figures three and four.

Table 5: Years of Experience In The Media Sector

|       |                    | Frequency | Percent | Cumulative Percent |
|-------|--------------------|-----------|---------|--------------------|
| Valid | 11- 20 years       | 9         | 60.0    | 60.0               |
|       | 21 years and above | 2         | 13.3    | 73.3               |
|       | 3-5 years          | 1         | 6.7     | 80.0               |
|       | 6-10 years         | 3         | 20.0    | 100.0              |
|       | Total              | 15        | 100.0   |                    |

Figure 2: Respondents' Years Of Experience

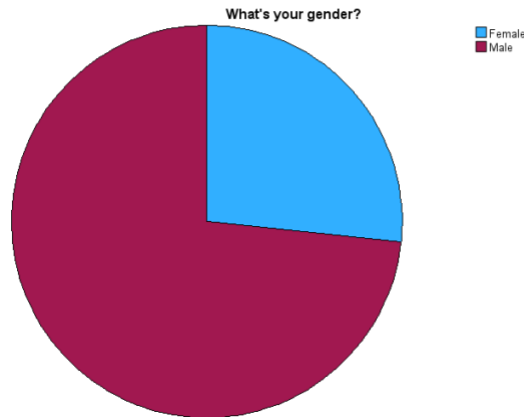


The majority of those who responded were male, an indication that more male practitioners hold senior positions in the media industry than women. According to a study by Reuters Institute for the Study of Journalism, the number of women in top editorial roles is less than that of women working as journalists where majority of the top editors are male (Reuters Institute,2023). This is supported by Kassova (2022) who acknowledges that women are significantly underrepresented in editorial leadership roles in the industry leadership dominated by men.

Table 6: Gender of Respondents

|       |        | Frequency | Percent | Cumulative Percent |
|-------|--------|-----------|---------|--------------------|
| Valid | Female | 4         | 26.7    | 26.7               |
|       | Male   | 11        | 73.3    | 100.0              |
|       | Total  | 15        | 100.0   |                    |

Figure 3: Respondents' Gender



### 2.2.1 To Assess the Current Awareness and Understanding of NFTs as a Revenue Stream in the Kenyan Media Sector

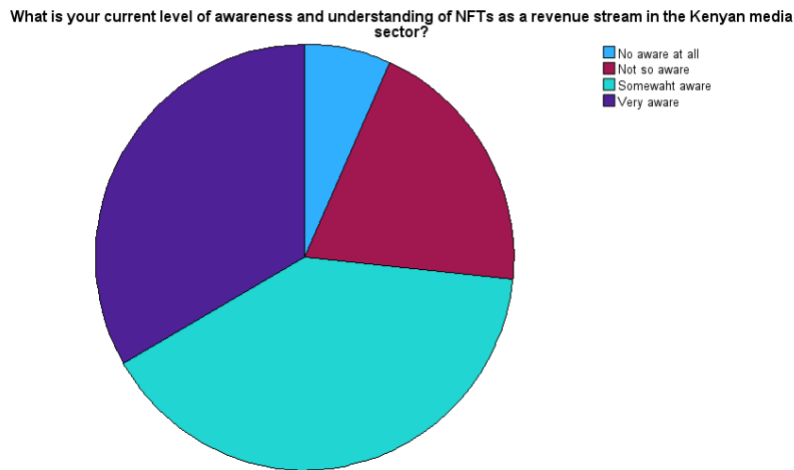
This study found that there was a slight awareness and understanding of NFTs among key media players in Kenya. Of the 15 respondents who filled in the questionnaire, five were very aware while six were aware. Only 1 was not at all aware while the rest were not aware. (Figure 7,8). Taherdoost (2022) notes that businesses are still unaware of NFTs and must be made aware of the possibilities presented by tokens.

Table 7: Level Of Awareness And Understanding Of NFTS By Respondents

#### What is your current level of awareness and understanding of NFTs as a revenue stream in the Kenyan media sector?

|       |                 | Frequency | Percent | Valid Percent | Cumulative Percent |
|-------|-----------------|-----------|---------|---------------|--------------------|
| Valid | No aware at all | 1         | 6.7     | 6.7           | 6.7                |
|       | Not so aware    | 3         | 20.0    | 20.0          | 26.7               |
|       | Somewhat aware  | 6         | 40.0    | 40.0          | 66.7               |
|       | Very aware      | 5         | 33.3    | 33.3          | 100.0              |
|       | Total           | 15        | 100.0   | 100.0         |                    |

Figure 4: Awareness And Understanding Of NFTS



The three respondents who participated in the Focus Group Discussion, though aware of NFTs, felt the level of awareness was low.

“They are complicated for the nonexpert. People bought into them as a get-money-quick scheme which has failed. If there are easier ways to make payments, I am not sure they have a future in their current state. Unless of course, they morph into something else,” Production Manager at a Leading TV station

This confirms earlier findings Kamau (2022) that though people are aware of cryptocurrencies most are not using them for business.

#### 2.2.2 To Evaluate the Adoption and Utilization of NFTs as a Content Monetization Strategy by Media Houses in Kenya

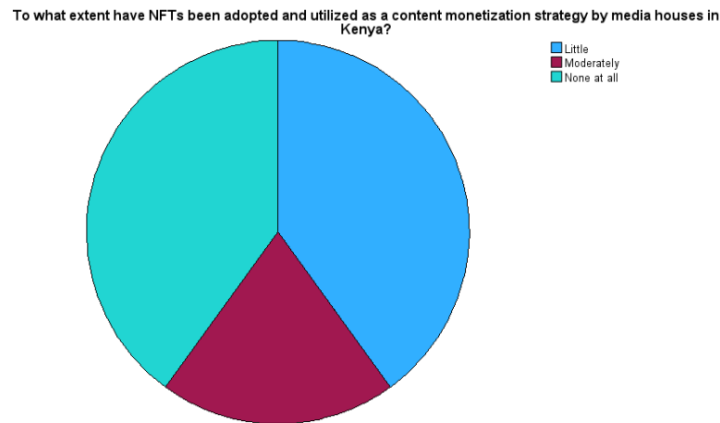
Most respondents (53.3%) who filled out the questionnaire believed that NFTs may be a revenue stream for media houses in Kenya while 46.7% think the tokens can be a good revenue stream. (Figure 9,10). This means all interviewees believe NFTs can be a source of revenue for the media industry.

Table 8: Adoption and Utilization of NFTS

**To what extent have NFTs been adopted and utilized as a content monetization strategy by media houses in Kenya?**

|       |            | Frequency | Percent | Cumulative Percent |
|-------|------------|-----------|---------|--------------------|
| Valid | Little     | 6         | 40.0    | 40.0               |
|       | Moderately | 3         | 20.0    | 60.0               |
|       | None       | 6         | 40.0    | 100.0              |
|       | Total      | 15        | 100.0   |                    |

Figure 5: Adoption And Utilization Of NFTS



Those who have doubts think media houses have not shown interest in NFTs and the level of understanding is still low while others think it is hard to sell news and information which is the mainstay for most media houses. Some felt the concept is still unpopular since according to them NFTs are invaluable and can only be exchanged for prosperity and less for money and blockchain technology is still not fully developed or accepted in Kenya.

The focus group discussion also pointed to similar sentiments with the three respondents expressing their doubts over the future of NFTs.

“I thought the markets for NFTs are collapsing. It started well in the Western world mostly for guys buying arts but never really picked up this neighbourhood,”  
Production Manager at a Leading TV Station

Another respondent wondered: “Did NFTs really pick up here well enough to be considered as a viable payment option?”

Those who think NFTs can be a revenue stream for media houses in Kenya argue that the world is quickly transforming how business is done from what we are used to, to new ways of doing things. The Internet of Things has brought with it cryptocurrencies where value is no longer limited to money and gold but to other newfound values such as crypto. The value of NFTs and the viability of the same as a revenue generation stream can be pegged on the uniqueness of that NFT/piece of work and the value proposition for the same. Some believe since the media has already changed the format of storytelling, the sector can monetize its content offer through exclusive memberships and access to premium content which is available through NFTs for as long as a massive trust-building campaign in crypto is carried out.

In the focus group, a participant thought NFTs could be a viable source of revenue if media houses made them appealing.

“NFTs can be a viable revenue source for Media in Kenya considering their rich libraries. Some of those Media houses are older than independent Kenya. However, the secret is in the packaging of the NFTs to make them appealing,” Output Producer at a Kenyan Media House

This is corroborated in a report by Ernst & Young which confirms that NFTs have the potential to transform the creator economy by giving media companies a chance to monetize their brands more directly and engage their audiences (Ernst & Young,2022)

When asked to point out the extent to which media houses in Kenya have adopted and utilized NFTs as a content monetization strategy, three out of the fifteen respondents acknowledged moderate penetration of NFTs while the rest noted there has been little to no adoption at all the tokens. More than half of those interviewed (53.3%) think that media houses in Kenya may be ready to adopt and utilize NFTs as a content monetization strategy while two believe they are ready while the rest think media houses are not ready to adopt and utilize NFTs.

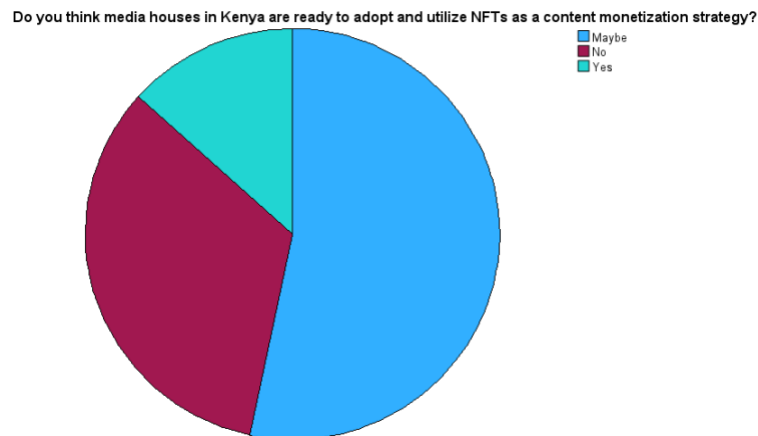
Table 9: How Ready Are Media Houses To Adopt And Utilize NFTS

**Do you think media houses in Kenya are ready to adopt and utilize NFTs as a content monetization strategy?**

|       |       | Frequency | Percent | Cumulative Percent |
|-------|-------|-----------|---------|--------------------|
| Valid | Maybe | 8         | 53.3    | 53.3               |
|       | No    | 5         | 33.3    | 86.7               |
|       | Yes   | 2         | 13.3    | 100.0              |
|       | Total | 15        | 100.0   |                    |

When asked to explain why they think Kenyan media houses may be ready to adopt NFTs, the respondents noted that though media houses in Kenya have been hit by shrinking revenue streams and have been researching new opportunities they have not focused on NFTs as an alternative mainly due to lack of awareness and the fact that NFTs is largely a new concept. (Table 8, Figure 6)

Figure 6: How Ready Are Media Houses To Adopt And Utilize NFTS



Others believe that media leaders are still stuck in the past to see the opportunity.

“My response is a Yes and No. The majority of media houses in Kenya are late adopters of digital technology let alone NFTs.

Media managers are fixated with traditional revenue making models such as direct and agency buying. Another reason is lack of research and development and lack of a digital strategy. However, current trends in the industry have forced media houses to consider new or alternative revenue-making streams considering digital transformation of audiences. They could utilize NFT's because they churn out so much content daily that can be tokenized. To achieve this, this needs for digital literacy for media leaders, content producers and consumers. This may not happen in the short but in the medium term.”

Senior Journalist Producer

### 2.2.3 To Explore the Challenges and Opportunities Faced by Kenyan Media Platforms in

#### Adopting NFTs for Content Monetization

Respondents who believe it is time for Kenyan media houses to adopt NFTs as a source of revenue argue that the tokens can be a good revenue stream especially now that media houses

are struggling. Others argue that the media houses will have no option but to embrace the new norm.

“The level at which NFTs are being accepted worldwide can only mean that Kenyan media will soon adopt this as a revenue stream. Art impressions fetch a lot of value that can sometimes lead to overpricing of the same. Digitalization of such impressions could translate to better value due to easy access. Adoption will also grow once regulations are put in place to protect both the creators and consumers of the pieces of work,”

Production Director – Fast-growing TV Station

A respondent in the Focus Group Discussion thought that media houses in Kenya still have a long way to go before they adopt and utilize NFTs unlike their counterparts abroad: “Either way, I am not sure we will adopt them here that fast. I see digital gifts growing faster and becoming an easier monetization tool than NFTs,” he said.

Those who think media houses are not ready to adopt to NFTs suggest that Kenyan media houses are too slow in adopting modern technology due to red tape and no media house has a clear laid down process for producing niche NFTs.

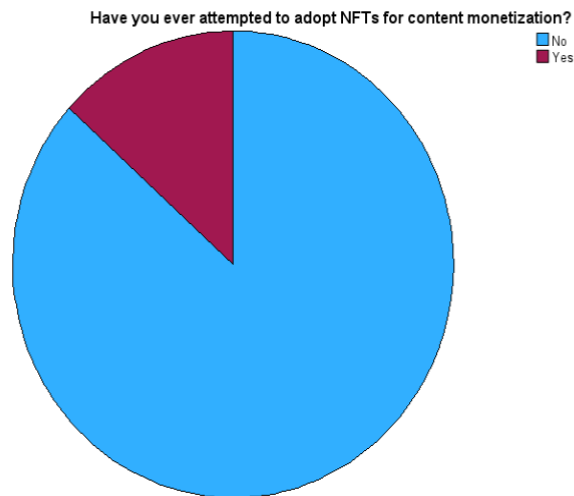
Despite most respondents acknowledging NFTs can be an alternative revenue stream for media houses in Kenya, media houses have not attempted to adopt NFTs. All except two of those interviewed said they have never attempted to adopt NFTs. Those that have tried have experienced various challenges like rigidity in leadership, lack of awareness and the high risks involved as shown in Table 9 and Figure 7.

Table 10: have you attempted to adopt NFTS?

**Have you ever attempted to adopt NFTs for content monetization?**

|       |       | Frequency | Percent | Cumulative Percent |
|-------|-------|-----------|---------|--------------------|
| Valid | No    | 13        | 86.7    | 86.7               |
|       | Yes   | 2         | 13.3    | 100.0              |
|       | Total | 15        | 100.0   |                    |

Figure 7: Have You Attempted To Adopt NFTS



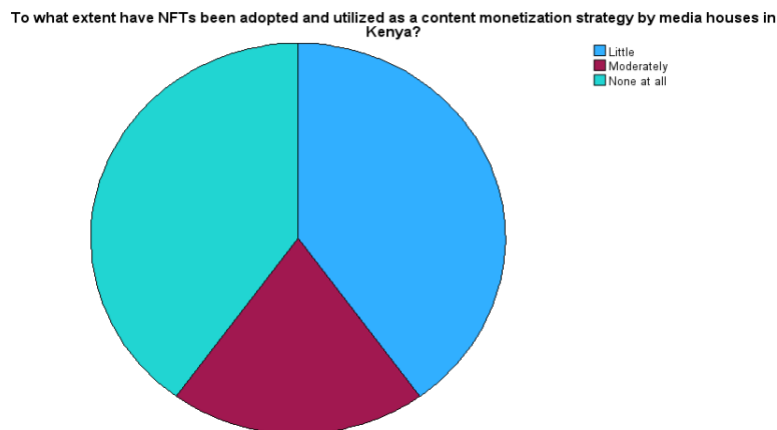
As shown in Table 10 and Figure 8, despite most of the respondents acknowledging that its time media houses embraced NFTs there is little or moderate utilization of the token as a source of revenue for the media sector in Kenya.

Table 11: Extent To Which NFTS Have Been Adopted And Utilized

**To what extent have NFTs been adopted and utilized as a content monetization strategy by media houses in Kenya?**

|       |            | Frequency | Percent | Cumulative Percent |
|-------|------------|-----------|---------|--------------------|
| Valid | Little     | 6         | 40.0    | 40.0               |
|       | Moderately | 3         | 20.0    | 60.0               |
|       | None       | 6         | 40.0    | 100.0              |
|       | Total      | 15        | 100.0   |                    |

Figure 8: Extent NFTS Have Been Adopted And Utilized



Though there is considerable use of NFTS by various media houses outside Kenya and Africa, organizations like Quartz, CNN, Time Magazine, and Vogue Singapore have experimented with the use of NFTs a sign that the tokens have the potential to reshape the ownership, distribution, and monetization of content. (Sergeenkov,2021). Closer to home, no mainstream media house has taken the risk to embrace NFTs.

## 2.2.4 To Propose Recommendations and Strategies for Building Sustainable and Inclusive Revenue Streams Through NFT-Based Content Monetization in the Kenyan Media Sector

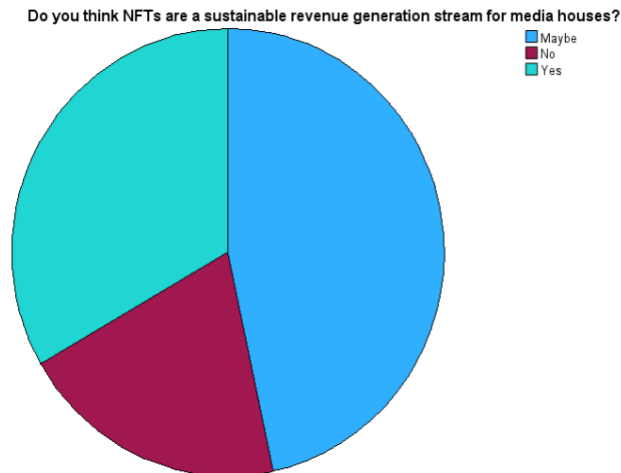
All the respondents gave various recommendations and suggested strategies media houses can adopt to build sustainable and inclusive revenue streams through NFT-based content monetization in Kenya. Of the 15 respondents, 80% believe NFTs can be a sustainable revenue generation stream for media houses as shown in Table 11 and Figure 9.

Table 12: Sustainability of NFTS as a Revenue Generation Stream For Media Houses

**Do you think NFTs are a sustainable revenue generation stream for media houses?**

|       |       | Frequency | Percent | Cumulative Percent |
|-------|-------|-----------|---------|--------------------|
| Valid | Maybe | 7         | 46.7    | 46.7               |
|       | No    | 3         | 20.0    | 66.7               |
|       | Yes   | 5         | 33.3    | 100.0              |
|       | Total | 15        | 100.0   |                    |

Figure 9: Sustainability OF NFTS as a Revenue Generation stream for media houses



Those calling for the adoption of NFTs emphasize that the media will be forced by circumstances to embrace NFTs. Despite the sharp fall in trading and collapse of the market a Knight Frank report in 2022 outlined the future of NFTs as bright.

“The future is digital. Digital currencies, digital artworks, digital transactions. This however calls for regularization of the process and reduction of transaction costs. Simplifying the process of trading in NFTs will also make access and use of the same easier. The challenge in Kenya, however, is the demonization of all cryptocurrency trading opportunities due to a lack of digital trading literacy among the decision-makers. Of importance moving to the future is guidelines to dictate the trade from the point of information as opposed to ignorance,”  
Production Director – Fast-growing TV Station

Others proposed a raft of strategies ranging from awareness creation, replacing current managers with flexible leaders, more research, curating content for NFTs, creating limited editions and increasing budgets for exploration and innovation. To build awareness, a respondent proposed that media houses foster a community around NFT content by engaging content creators to build a supportive ecosystem. They also proposed to educate content creators and consumers about NFTs, blockchain, and the potential benefits; as well as conducting workshops to demystify the technology and highlight opportunities.

Partnerships with Kenyan artists to create exclusive NFT content were also encouraged. This not only supports local talent but also appeals to a broader audience.

For media houses, archived content which is appealing to super fans is considered a bridge to the future of blockchain-based media distribution. It can be bought by super fans who want a limited edition of their favourite content (Alex, 2023)

## 2.3 Summary

This chapter discussed the findings from interviews and discussions with respondents drawn from various media houses in Kenya. The researcher explored their views on whether the adoption of non-fungible tokens (NFTs) is a promising revenue stream in the media sector of Kenya, sought to know their knowledge of NFTs and whether they have ever attempted to adopt NFTs as a source of revenue in their respective media houses. This study also sought to uncover the challenges and opportunities that exist in adapting NFTs as a source of revenue and their recommendations.

## CHAPTER THREE

### CONCLUSIONS AND RECOMMENDATIONS

#### 3.1 Introduction

This chapter presents the conclusions drawn from the findings of the study based on the objectives and outlines the recommendations on how NFTs can be adopted by media houses as an alternative revenue stream.

#### 3.2 Conclusions

This study found that there is considerable awareness and understanding of NFTs in the Kenyan media sector. It was however clear that there is little to no adaptation of NFTs as a content monetization strategy by media houses in Kenya even though some respondents believe the tokens can be a source of revenue for media houses. Some participants were indeed categorical that media houses will at one point, or another be forced by circumstances to adopt NFTs and other blockchain systems as revenue streams. They noted that the way of doing business is changing daily and value is no longer limited to money and gold but to other newfound value systems such as cryptocurrency.

They argue that media houses have high-value entertainment content with commensurate high market demand which can appeal to exclusive clientele who want premium content. For example, media houses have diversified their storytelling and are curating their content in video, image, audio, and text formats which are essential in creating NFTs. This can in turn be tokenized and earn revenue.

However, some respondents feel that the concept is unpopular and not consistent because NFTs are invaluable and can only be exchanged for prosperity and less for money. Respondents noted that though NFTs have been successful in Europe and the United States, there was little or no interest in Kenyan media houses in the subject either for stories or for commercial purposes. Most media leaders concur that NFTs can be a source of revenue but call for more awareness and regulation.

One theory that can be applied to achieve this is User Gratification Theory where the audience consumes the content they want according to their needs. In relation to this study, media leaders will be drawn to the use of NFTs if there is enough information or evidence that the tokens can fulfil their desire to generate more revenue. This theory can also be applied when the audience realizes they can own a piece of content they are interested in by investing in NFTs and hence force media to produce audience-curated products.

Another theory to explore is the Unified Theory of Acceptance which explains the process of technological acceptance. (Venkatesh et al., 2003) argues that the perceived likelihood of adopting the technology is dependent on the direct effect of four key constructs, namely performance expectancy, effort expectancy, social influence, and facilitating conditions. In this context, this theory can be used to measure why media leaders want or do not want to adopt NFTs. Among the four factors influencing the use of modern technology, social influence is likely to play a key role if Kenyan media houses decide to adopt NFT since they will learn from peers in developed countries. There is also a need for further research on how media can leverage blockchain technology outside of NFTs.

### 3.3 Recommendations

Based on document analysis, interviews and literature review, the study makes the following recommendations:

#### 3.3.1 Current level of awareness and understanding of NFTs as a revenue stream among artists and creators in the Kenyan media sector

That though there has been a significant surge in awareness of NFTs, more needs to be done to create awareness on the pros and cons of the tokens. This is why media houses in Kenya are yet to adopt them as a revenue stream. While NFTs are gaining traction in the art world, the same has not happened in Kenyan media houses mainly because of a lack of awareness or trust amongst media leaders that NFTs can be a source of revenue. This can be achieved if content creators and consumers are made aware of how the blockchain works and its potential benefits. There should be more collaboration to find out how local artists, content creators and audiences can strengthen the existing ecosystem.

#### 3.3.2 To what extent have NFTs been adopted and utilized as a content monetization strategy by media houses in Kenya?

Media houses in Kenya have not utilized NFTs as a content monetization strategy. This is because of several factors like rigidity among top leaders, lack of digital strategy and lack of information about the tokens. Some respondents, while acknowledging that NFTs are a potential revenue stream feel some media managers are still stuck in the past and may not entertain proposals to pursue other revenue streams including NFTS.

They also feel media houses in Kenya lack a digital strategy and hence may not even be able to embrace blockchain systems in their plans. To attract media houses to adopt NFT, media

managers ought to commission research on their benefits. Kenyan media can also benchmark how media houses already utilizing NFTs are doing it.

### 3.3.3 What challenges and opportunities are encountered by Kenyan media platforms when attempting to adopt NFTs for content monetization?

Though media houses in Kenya are yet to embrace NFTs as a source of revenue, respondents feel there is an opportunity to exploit the tokens as a form of revenue. However, they noted several challenges key among them rigidity amongst industry leaders who are fixated on traditional revenue-making models. Another key impediment is the fact that most media houses are still struggling to find a footing in the digital space. Media houses are also not keen on investing in the NFTs. Another challenge is the demonization of all cryptocurrency trading opportunities due to a lack of digital trading literacy among decision-makers. Since there exist opportunities, media houses must invest heavily in creating digital literacy among media leaders, content producers, and consumers. They also need to produce products targeting those interested and creating new markets. The industry can also monetize special occasions that they cover.

### 3.3.4 Based on the findings, what recommendations and strategies can be proposed for building sustainable and inclusive revenue streams through NFT-based content monetization in the Kenyan media sector?

To build sustainability, media houses must create awareness of NFTs and blockchain. This can be achieved through implementing initiatives to improve digital literacy in the local community, which will help more people understand NFT transactions.

Media houses can also embrace the strategy to enhance the cultural value of NFTs, which will attract a local audience. By creating cultural relevance, where we celebrate and display Kenyan culture, traditions, and stories more people will also develop an interest in NFTS.

After creating awareness, the media then needs to ensure that the cost of participating in NFTs is accessible to a diverse audience. This can be achieved by considering fractionalized ownership or lower-priced NFTs to encourage wider participation.

The Media also needs to work with industry enthusiasts to simplify the process of trading with NFTs. Once they establish a target audience, they should focus on working with all other stakeholders, among them the government, to regulate the sector. This will address all the questions raised, especially whether NFTs can be used for money laundering, the issue of intellectual property rights and theft of artworks. Stakeholders also need to produce guidelines to dictate the trade from the point of information as opposed to ignorance.

Even as the media adopts NFTs, the sector must address environmental concerns. The energy-intensive nature of blockchain technology has raised concerns globally about the carbon footprint associated with their transactions. This issue is particularly relevant in Kenya, where sustainability and environmental conservation are critical considerations. The media must therefore look for blockchain solutions that are energy-efficient and align with sustainable practices.

## PROJECT DOCUMENT

### 1. Introduction

NFTs are distinct virtual tokens stored securely on a blockchain, setting them apart from traditional cryptocurrencies like Bitcoin due to their non-interchangeable nature. These tokens can represent a vast array of assets, ranging from conventional art and real estate to digital creations such as music, videos, and virtual collectables. The allure of NFTs lies in their ability to provide a tangible link between these tokens and digital artworks, empowering creators to assert ownership and authenticity in an era where reproducing and disseminating content is incredibly effortless.

Understanding the impact of NFTs in this context is essential, as it holds the potential to unlock new revenue streams and engage a broader audience. The current level of awareness and

understanding of NFTs in the Kenyan media sector is a critical factor to consider, as it may significantly influence the successful adoption of NFTs as a revenue-generating tool. Identifying barriers and opportunities for NFT adoption will enable the development of tailored strategies for navigating the intricacies of the Kenyan media landscape.

From the results of the survey conducted, there is a need for a massive awareness campaign about blockchain and how media can leverage it to make more revenue.

As one can gather from the survey, media houses too need to develop digital strategies as they prepare for the future which may after all embrace blockchain. That countries across the globe including Kenya are producing regulations is a strong indication that the future of blockchain technology cannot be ignored.

### The Future of NFTs

While the NFT market is facing a meltdown making the future of NFTs look uncertain, data shows that the market will survive the slump and more people will be interested in the tokens. It is therefore prudent for traditional media houses to study and understand how to strategically incorporate NFTs as a revenue stream. The media has a chance to create a highway to the future by starting to analyze how they can use blockchain systems for content distribution. Media houses in Kenya should as they set up their digital strategies make sure they have set aside funds to implement the use of NFTs.

As shown in the study, even though there is sufficient awareness and understanding of NFTs, media houses are still not very sure whether NFTs should become part of their revenue strategies. This awareness strategy will touch both those working in the media sector and the would-be

consumers. It is therefore prudent to have media managers work with industry enthusiasts to simplify the process of trading with NFTs. Those who have traded in NFTs can guide the media on the potential benefits and how opportunities exist to get more revenue if they curate content for this market. Media managers who are still apprehensive about the future of blockchain will gain knowledge from industry players and eventually participate in ensuring there are regulations in place to deal with the fears raised by pessimists. Improving digital literacy in the local community is also crucial as it helps more people understand NFT transactions. The creation of cultural relevance will also prompt people to develop an interest in NFTS hence making it a sustainable revenue stream.

Gargash Group Chief Marketing Officer Saad Samadi on LinkedIn noted in his post; “*Exploring the Diverse Universe of NFTs: A Journey Beyond Digital Art*, ”: “For Marketers and strategists, this is a frontier brimming with innovative possibilities.”

He further says; “I think NFTs have enormous potential as a new revenue stream for media, once we get past a few bumps in the road. We are talking about tackling environmental concerns, smoothing out market difficulties, and getting some clear rules from the authorities. Once we have that sorted, NFTs could change the game for media companies. They could start offering exclusive content, unique digital collectables, or even cool new ways to connect with fans, all through NFTs. It is all about finding creative and sustainable ways to dive into this space. The media will certainly jump on the NFT bandwagon and make it work. The possibilities are endless.”

Though there has been little to no adoption of NFTs as a revenue stream in the media sector in Kenya, there is considerable use of NFTS by various media houses outside Kenya and Africa.

Organizations like Quartz, CNN, Time Magazine, and Vogue Singapore are already experimenting with this system. It has not been all rosy though as CNN abandoned its NFT project. Though there was no apparent reason given, this direction gives media houses the willingness to embrace NFTs to have a strategic plan before venturing into the market. Even with the uncertainty facing the NFTs market, TIME Magazine has made a success story. According to reports, TIME made \$10 million months after launching its NFT project. This is a sign that the tokens can reshape the ownership, distribution, and monetization of content. (Sergeenkov,2021).

NFTs are popular in the arts and entertainment sectors in Kenya, and those engaged in blockchain recognize there is potential adaption of NFTs in other sectors- the media being one of them. Kenya Broadcasting Corporation, Nation Media Group and Standard Group have rich archives which can be used to study the sustainability of NFTs as a revenue stream. With still photos and footage as old as 100 years, it is possible that the offering will attract those interested in historical clips and photos in Kenya and abroad. Apart from the media houses, this will also be beneficial to creators, musicians, and others to monetize their works.

The adoption of NFTs as a revenue stream in the Kenyan media will introduce a new revenue stream and address the issue of financial challenges facing the Kenyan Media. It will also contribute to the general development and growth of digital assets for media houses and how media can take advantage to introduce content distribution mechanisms. Although the media in Kenya is slow in adopting NFTs and blockchain in general, it will at some point be forced by circumstances just like it has been forced by the digital disruption to adopt NFTs as a source of

revenue. Indeed, media should be focusing on how to develop internal policies including environmental and legal guidelines on the use of NFTs in content distribution.

Some of the problems the document seeks to address are:

| CHALLENGE                                                                                                                                   | SOLUTION/RECOMMENDATION                                                                                                                                                                                                                                                                     |
|---------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Shrinking revenue</b></p>  <p>Source: Starline</p> | <p>Many media house in Kenya is facing financial hurdles and the introduction of NFTs as a revenue stream will attempt to address this challenge which has led to numerous firings. The introduction of NFTs will also ensure quality content is produced to attract a larger audience.</p> |

|                                                                                                                                                |                                                                                                                                                                                                                                                                                                 |
|------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>New products</b></p>  <p>Source: Dreamstime</p>         | <p>The findings above will encourage media houses to either produce new products or work with what they have to curate content attractive to those who are already in the NFTs market. By working together, they will create a fuss around it and encourage more people to try the markets.</p> |
| <p><b>Awareness creation</b></p>  <p>Source: Adobe Stock</p> | <p>It is open that NFTs are a new concept, and this may be the main hurdle to their adaptation by the media. This study aims at enlightening the media sector on the opportunities that abound.</p>                                                                                             |
| <p><b>Digital inclusivity</b></p>  <p>Source: Internet</p>  | <p>From the findings, digital there is potential in the digital economy. The study hence aims at promoting the adoption of NFTs and other block chain systems and highlight their potential to bring on more money.</p>                                                                         |

|                                                                                                                                           |                                                                                                                                                                                                                                                          |
|-------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Perception change</b></p>  <p>Source: Internet</p> | <p>Despite the opportunities highlighted in the study, there are concerns about the sustainability, security, and reliability of NFTs. The study seeks to provide information and promote the adoption of tokens as a revenue stream from the media.</p> |
|-------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

In summary, the survey seeks to address the issue of how media can deal with shrinking revenue, create awareness about blockchain as a source of revenue, produce quality digital products, ensure the availability of more personalized content, and overcome the negative perception of blockchain. To achieve this, the following resources are necessary.

1. Monetary:

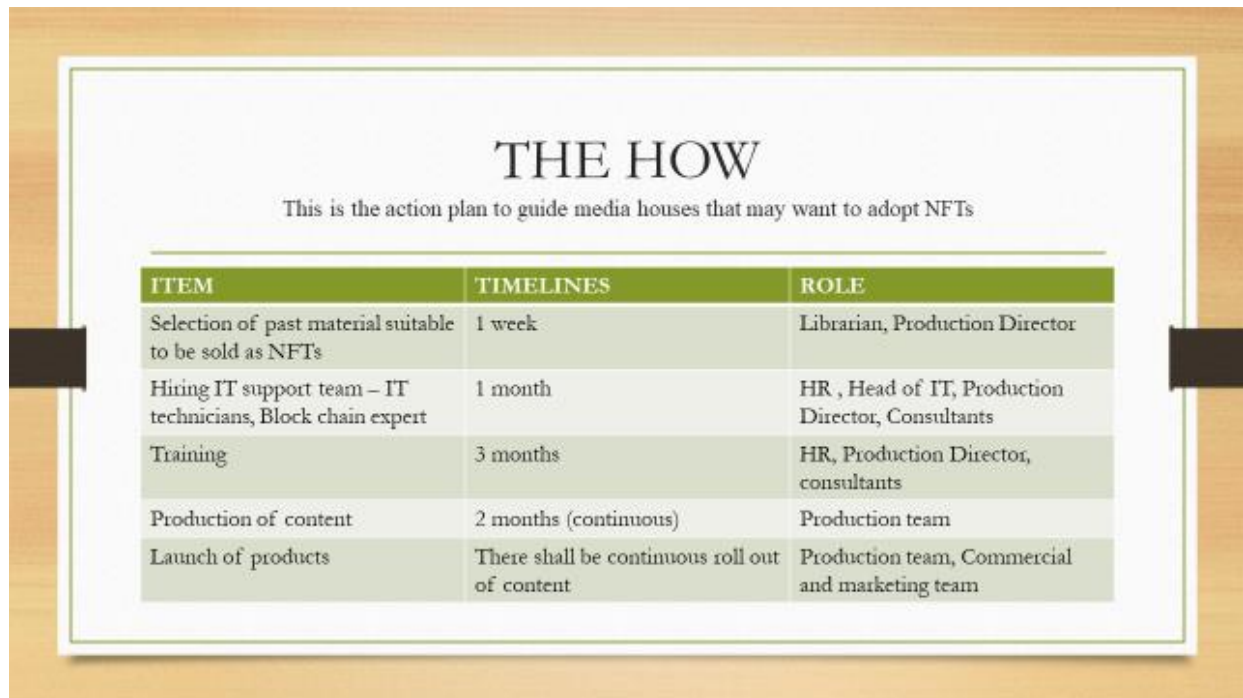
- Operational costs – These will include salaries, awareness campaigns funds, technology upgrades
- Production costs – These will be used to produce content to rework what media houses currently have

2. Human Resources:

- Content creators
- Marketers
- Technical support team
- Trainers

As recommended in the survey, the media will have to work with individuals and organizations involved in NFT markets as they can offer additional support to ensure sustainability. With

commitment and resources, the journey to embrace NFTs can start immediately since media houses already have content that can be used in the pilot phase. The entire implementation team and resource people can then monitor and evaluate the adoption and what needs to be worked on.



| ITEM                                                        | TIMELINES                                     | ROLE                                              |
|-------------------------------------------------------------|-----------------------------------------------|---------------------------------------------------|
| Selection of past material suitable to be sold as NFTs      | 1 week                                        | Librarian, Production Director                    |
| Hiring IT support team – IT technicians, Block chain expert | 1 month                                       | HR , Head of IT, Production Director, Consultants |
| Training                                                    | 3 months                                      | HR, Production Director, consultants              |
| Production of content                                       | 2 months (continuous)                         | Production team                                   |
| Launch of products                                          | There shall be continuous roll out of content | Production team, Commercial and marketing team    |

Budget:

This will raise operational costs and hence media houses must set aside funds to run the program.

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## APPENDICES

### Appendix A: Interview Guide

Hello, I am an Executive Masters in Media Leadership and Innovation student at the Aga Khan University. I am conducting research on content monetization for the media sector in Kenya (adoption of Non-Fungible Tokens) and I would like to know your experiences and recommendations on the use of Non-Fungible Tokens as an alternative revenue stream for the media sector in Kenya. Thank you for your participation.

Definition: **Non – Fungible Tokens** also known as NFTs are a unique digital asset that is a representation of an object in the real world like a piece of art, photo, or video. Marathon Legend Eliud Kipchoge recently auctioned two videos of his career highlights earning thousands of shillings. Media houses like the US Time Magazine have already used its stockpile of historical images to create NFTs as an alternative revenue stream.

1. What is the name of your organization?
2. What role do you play in your organization?
3. What is your gender?
4. Years of experience in the media sector
5. What is your current level of awareness and understanding of NFTs as a revenue stream in the Kenyan media sector?
6. Based on your answer above, do you think NFTs can be a revenue stream for media houses?
7. Why do you think NFTs can or cannot be a revenue generation stream for media houses?
8. To what extent have NFTs been adopted and utilized as a content monetization strategy by media houses in Kenya?

9. Do you think media houses in Kenya are ready to adopt and utilize NFTs as a content monetization strategy?
10. Please explain your answer to question five above.
11. Have you ever attempted to adopt NFTs for content monetization?
12. If your answer to Q7 is **yes**. What challenges and opportunities did you encounter when attempting to adopt NFTs for content monetization?
13. Do you think NFTs are a sustainable revenue generation stream for media houses?
14. What recommendations and strategies can you propose for building sustainable and inclusive revenue streams through NFT-based content monetization in the Kenyan media sector?



**THE AGA KHAN UNIVERSITY**  
*Graduate School of Media and Communications*

REF: AKU-GSMC/ERC/2023/EMMLI 0012

Date: November 13, 2023.

Dear GEOFFREY MACHARIA, WAMUGO (Student No. 569003)

**RE: CONTENT MONETIZATION: NON-FUNGIBLE TOKENS  
AS A NEW REVENUE STREAM FOR THE MEDIA  
SECTOR IN KENYA.**

This is to inform you that Aga Khan University – Graduate School of Media and Communications Ethics Review Committee has reviewed and approved your above research proposal. Your approval period is November 13, 2023, to November 12, 2024, and your application's approval number is AKU-GSMC/ERC/2023/EMMLI 0012.

This approval is subject to compliance with the following, under the supervision of your two supervisors:

1. Only the approved documents including the informed consent form and the data collection instruments will be used.
2. Any changes, made on the approved documents that may increase the risks or affect the welfare or safety of the participants or compromise the integrity of the study must be reported to GSMC within the shortest time possible. The amended documents will be taken through a fresh review and the due process of approval.
3. In the event that the research cannot be completed within the one-year approved period, the researcher will request for renewal of approval 30 days prior to the end of the approved period.
4. The researcher will be required to submit a comprehensive progress report when applying for renewal of approval.
5. Submission of an executive summary report to the GSMC's Ethics Review Committee within 90 days of completion of the study.
6. Produce all the data collected using the approved tools as and when required by the Ethics Review Committee within the 90 days of completion of your study.

Prior to commencing your study, you will be required to obtain a research permit and other relevant documents from the appropriate regulatory body in your country.